

small-capitalization stocks outperforming large-capitalization stocks came into popularity. The point to be duly noted here is that before you criticize a fund manager's track record for any given asset class, make sure you know when his or her strategy gained popularity. Judge the track record from there.

DIAGNOSTIC TESTING

These questions are designed to detect cognitive errors caused by hindsight bias. To complete the test, select the answer choice that best characterizes your response to each item.

Hindsight Bias Test

Question 1: Suppose you make an investment, and it increases in value. Further suppose, though, that your reasons for purchasing the investment did not rely on the forces underlying its growth. How might you naturally react?

- a. I do not concern myself with the reasons an investment does well. If it performs well, it means I did a good job as an investor, and doing well makes me more confident about the next investment I make.
- b. Even though the stock went up, I'm concerned that the factors I thought were important didn't end up impacting its performance. In cases like this, I usually try to revisit the reasons that I bought the stock, and I also try to understand why it succeeded. Overall, I think I'd be more cautious the next time around.

Question 2: Suppose you make an investment and it goes down. What is your natural reaction to this situation?

- a. Generally, I don't fault myself—if an investment doesn't work out, this may simply be due to bad luck. I'll sell the stock and move on, rather than pursuing the details of what went wrong.
- b. I would want to investigate and determine why my investment failed. In fact, I'm very interested in finding out what went wrong. I put a lot of emphasis on the reasons behind my investment decisions, so I need to be aware of the reasons behind my investment's performance.

Question 3: Suppose you are investigating a money manager for inclusion in your portfolio. Your advisor suggests a large-cap value manager for you. What is your natural approach to examining the manager's performance?